Weekly Market Note

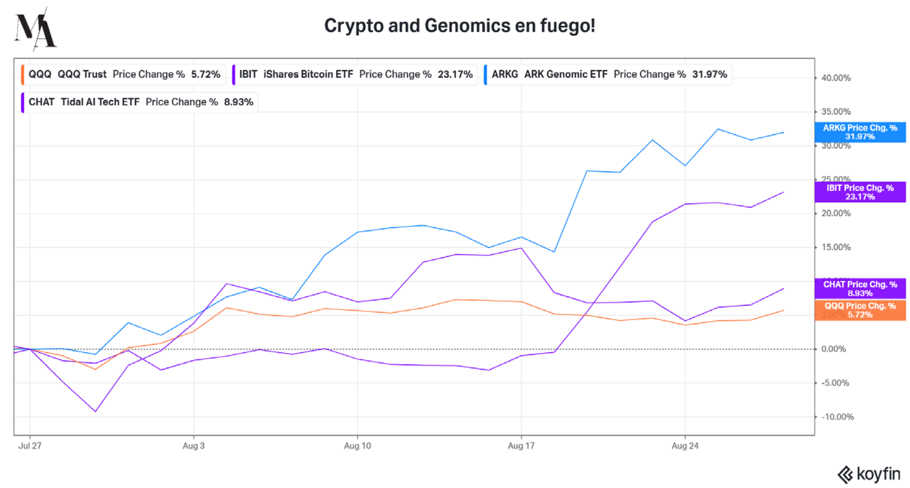
August 28th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	2.62%	13.15%
MSCI Asia Pacific	Equity	1.87%	18.01%
MSCI Europe	Equity	2.50%	12.59%
MSCI China	Equity	0.88%	-6.34%
Bloomberg Barclays Global Aggregate Index	Fixed Income	0.71%	-0.02%
Bloomberg Commodities Index	Commodities	6.39%	26.87%
HFRX Global	Hedge Fund	0.84%	4.45%
HFRX Macro/CTA	Hedge Fund	1.09%	5.19%
HFRX Equity Hedge	Hedge Fund	1.57%	7.95%

**Index data as of August 21, 2026*

Spec-Broadening!?



Global Markets & Economic Data:

Risk is well-bid evidenced by crypto surging out of its multi-month downtrend.

US: July Core PCE was in-line, rising by 0.2% and the latest Q2 GDP growth estimate is 1.5%, dropping from 2.1% in Q1. House prices ticked higher while new home sales trended lower.

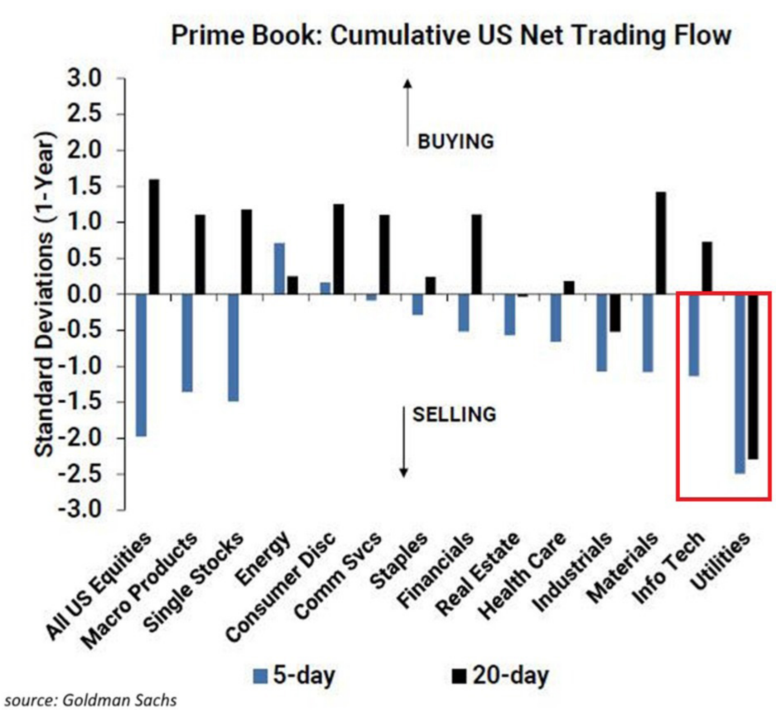
Switzerland/UK/Europe: The Swiss investor's sentiment index rose for a second consecutive month as the KOF Leading Indicators Index hit its highest level since November 2021. German's Ifo Business Climate Index hit its highest level in a year. UK's Aug Manufacturing PMI trended lower while Services PMI ticked higher.

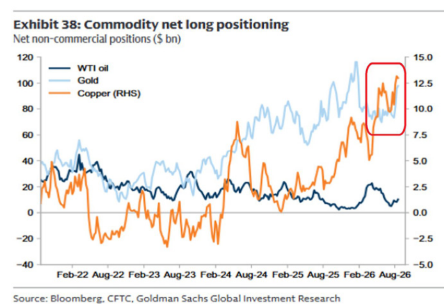
China/Japan: Headline Chinese FDI fell 6.2% y/y in July, but FDI in high-tech industries surged by 32%. Saudi Arabia, France and South Korea were the top net investors in China. Japan's leading economic index was revised slightly higher in June.

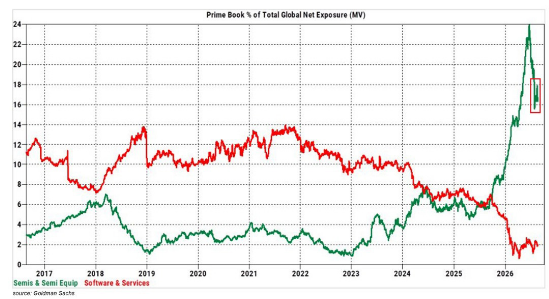
- *Hedge fund managers across quant and discretionary strategies were saluting a broadening of upside participation in the marketplace.*
- *However, movements from speculative AI pockets seem to rolling into unprofitable biotech, and nearly insolvent crypto, which is creating headaches on the short side.*
- *YTD, ARKG is up 72%, CHAT up 52%, QQQs up 17%, and IBIT down 9%. In the past month, leaders in this group were starkly ARKG (continuing its strong uptrend from Q2) and IBIT surging higher in the past seven trading sessions.*
- *IBIT is supported by the US government's continued "creative" capital markets initiatives. Especially those that specifically target crypto. On August 18th the SEC proposed REG CA "Regulating Crypto Assets" then the White House held a Crypto Summit on August 19th. Additionally, on that same day, August 19th, the US Treasury doubled its long-term government bond buybacks.*

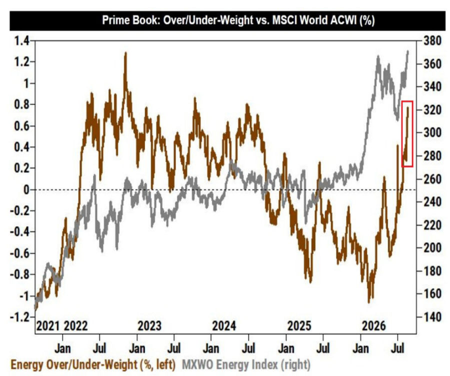
Market Spotlight: HF Rotation from Tech to Commodities

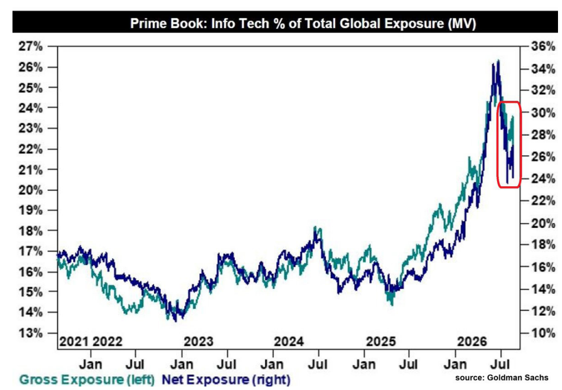
- Q3 is playing out to be a sharp reversal of Q2's winning themes. The shift is coming at an interesting seasonal inflection point with fundamentals building for potentially a continuation of the new trends. Tech investors report weakening AI enterprise deployment channel checks (the first in years), AI credit concerns are elevated, US inflationary pressures appear structural and geopolitical uncertainty driven by US midterms is elevated.
- Hedge funds are rapidly de-risking and unwinding their bullish bets on US equities and tech, while maintaining aggressive long positions in commodities and energy. Last week was the largest weekly decline in HF equity exposures since April 2025 (Liberation Day). Single stocks accounted for 53% of the reduction as nine out of eleven equity sectors were sold, led by Tech, Industrials and Healthcare.
- HFs' Semis's exposure has dropped by 33% since June and last week tech generally suffered its heaviest selling flows in over two-years.







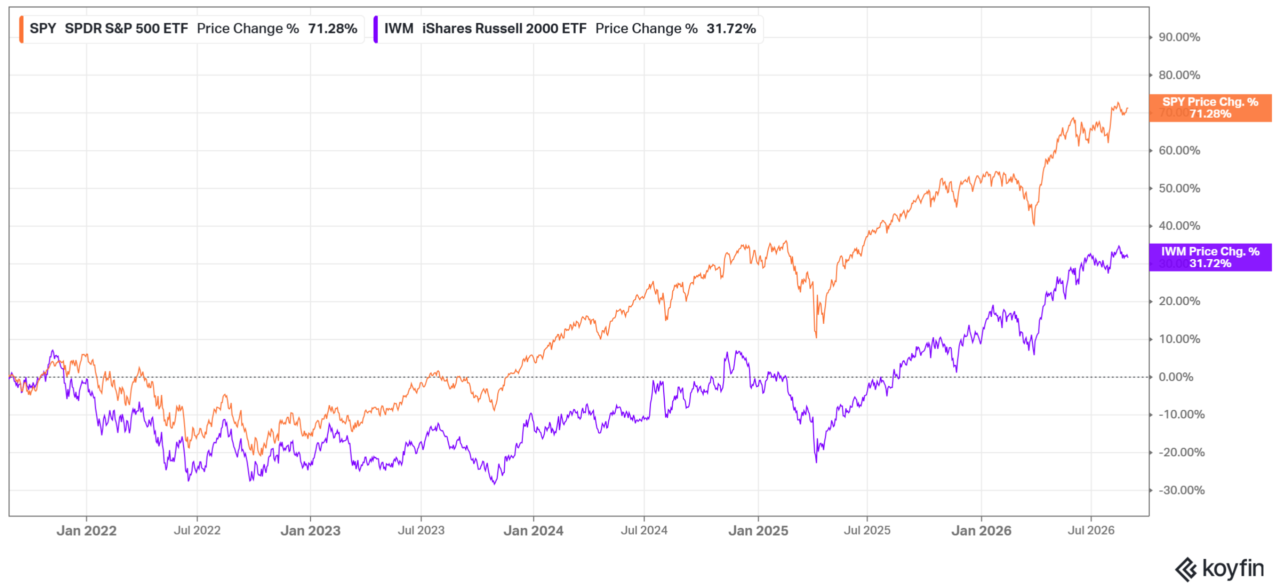




Market Spotlight: IWM vs SPY

- The multi-year outperformance of the S&P 500 versus the Russell 2000 helps illustrates US's "K-Shaped" economy. At both the individual and corporate level, winners in this economy are cash-rich, asset heavy players.
- Additionally, the Russell is more exposed to weaker domestic aspects of the US economy like mid and lower tier consumers and the stagnating US housing sector.
- Higher rates therefore are much more detrimental to the IWM than the SPY, which has caused the multi-year lag in performance. This underperformance trend has re-emerged over the past month as long-term US bond yields push higher.
- Hedge funds are impacted because the narrow market leadership by S&P 500 mega-cap companies leads to crowding. Additionally, investors seeking to implement hedge overlays using the S&P 500 have been hurt by attempting to own non-AI mega cap stocks while indirectly shorting the top performing companies in the marketplace.

IWM captures > 50% SPY 5-Year Return



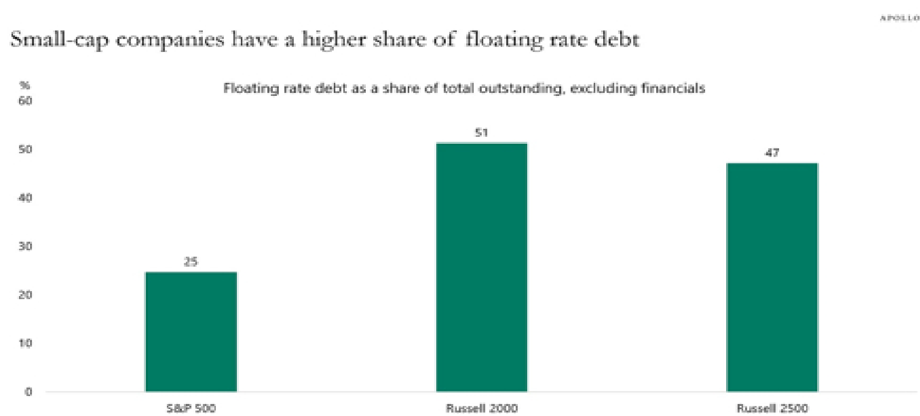


Chart Source: Bloomberg, Apollo Chief Economist.

Apples are from Kazakhstan

- Deep in Kazakhstan's Tian Shan mountains grows Malus sieversii, the wild ancestor of nearly every apple eaten today.
- The journey began with bears and birds eating the fruit and scattering seeds across the landscape, naturally selecting for sweeter apples over thousands of years.
- When the Silk Road trade networks emerged, merchants and caravans carried Kazakh apples across continents. Seeds traveled east to China, where they hybridized with native crabapples, and west to Europe, where they met European wild apples.
- This accidental mixing created the modern domesticated apple—larger, sweeter, and hardier than either parent.
- The Greeks and Persians mastered grafting, allowing them to clone superior varieties. The Romans industrialized the process, spreading apple orchards throughout their empire and into Western Europe.
- By the 17th century, European colonists brought apples to the Americas, and later to Australia, New Zealand, and South Africa, making the apple a truly global crop.
- Today, every apple you eat carries the genetic legacy of those first wild trees in Kazakhstan. In Almaty, the city's name itself—derived from *alma*, meaning "apple", honors the mountain homeland where it all began. A single fruit conquered the world.

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